Inovance

Outperform

FA strong, NEV weak

Key Points

- 2Q26 earnings beat MQe on solid revenue growth with stable GPM.
- We expect China FA demand to bottom out. Inovance is the key proxy. However, we expect slowing NEV to weigh on revenue and earnings.
- Trough valuation implies limited downside potential. Reiterate OP.

- **What we liked:** 2Q26 revenue grew 26.0% YoY with stable GPM of 29.6%.
- **What we did not like:** 2Q26 operating CF declined 31.8% YoY.
- **Industrial automation growth on track with second-round price hike.** Inovance reported 2Q26 industrial automation revenue growth of 44.6% YoY, in line with order book growth. We expect China FA demand to bottom out in 2026 and enter an upcycle through 2027/28. Inovance says it will consider a second round of ASP hikes in 2H26 to offset rising raw material & chips costs, following a first ASP hike of 5-10% in March. We assume further market share gained from global peers, underpinning faster industrial automation revenue growth than the industry.
- **NEV segment weighing on top-line growth & margins.** NEV segment revenue growth was flattish in 2Q26. We see continued NEV headwinds for Inovance given slowing demand and intense price competition. 1H26 segment GPM contracted to 12.8% from 16% in 2025. Inovance expects its NEV segment to grow faster than the industry, driven by new product development and penetration of new overseas customers.
- **Overseas, the new growth driver.** Overseas revenue grew 24.2% YoY in 1H26 and accounted for 6.6% of total revenue. Inovance targets overseas markets to contribute 20–30% of revenue over time. We expect overseas revenue to become a long-term growth driver for the company.
- **2026 guidance remain unchanged** with revenue and net profit growth of 10-30% YoY.

Earnings changes: We maintain our 2026/27/28E net profit estimates.

Valuation: We maintain our TP of Rmb77.8, based on an unchanged 30.8x 2027E P/E multiple (1SD below historical avg PE).

Catalyst: Industrial automation demand rebound.

Investment Thesis and Recommendation

Inovance is a domestic leader in the industrial automation industry for servo systems, inverters, PLC and industrial robots. We expect domestic market-share gains on import substitution and overseas expansion. For more research, see here.

Capital Goods
China



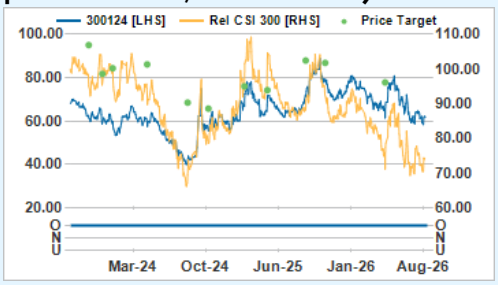
Daisy
Zhang, CFA

300124 CH	Outperform
Price (at 31 Aug 2026)	CNY61.87
12-month target	CNY77.80
12-month TSR (%)	26.7
Volatility Index	High
Market Cap (Local) (m)	167,519
Market Cap (USD) (m)	24,927
Free Float (%)	65
30-day avg turnover (USD) (m)	210.8

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (m)	45,105	52,174	60,161	69,332
Revenue growth (%)	21.8	15.7	15.3	15.2
EBIT (m)	5,443	6,156	7,351	8,713
EBIT growth (%)	22.0	13.1	19.4	18.5
Reported profit (m)	5,050	5,823	6,820	8,090
Adjusted profit (m)	5,050	5,823	6,820	8,090
EPS rep [CNY]	1.9	2.1	2.5	3.0
EPS rep growth (%)	16.8	15.2	17.5	18.6
EPS adj [CNY]	1.9	2.1	2.5	3.0
EPS adj growth (%)	16.9	15.2	17.4	18.6
Net debt/equity (%)	(11.1)	(5.5)	(9.0)	(11.8)
ROA (%)	8.5	8.5	9.4	9.9
ROE (%)	15.9	15.5	16.2	17.0
PER rep (x)	33.2	28.8	24.5	20.7
PER adj (x)	33.2	28.8	24.5	20.7
EV/EBITDA (x)	25.2	21.0	17.8	15.3
P/BV (x)	4.7	4.2	3.7	3.3
Total div yield (%)	0.8	0.9	1.1	1.3
Quant (rank vs. global sector)				1,010 / 2,744

300124 CH rel CSI 300 performance, & rec history



Source: FactSet, Macquarie Research, Aug 2026 (all figures in CNY unless noted, TP in CNY)

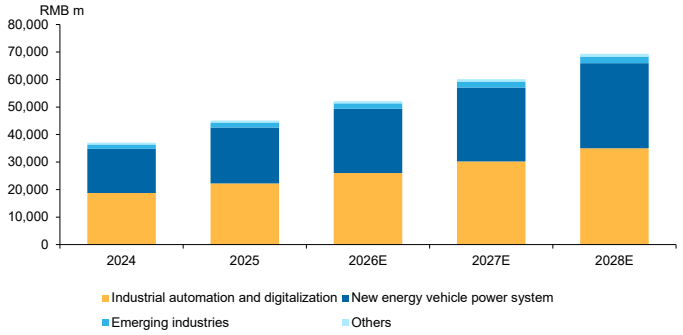
Key Risks to Investment Thesis

- Increasing pricing competition in the industrial automation segment.
- Slowing down NEV market demand.
- A slower-than-expected FA market demand recovery.

Company Description

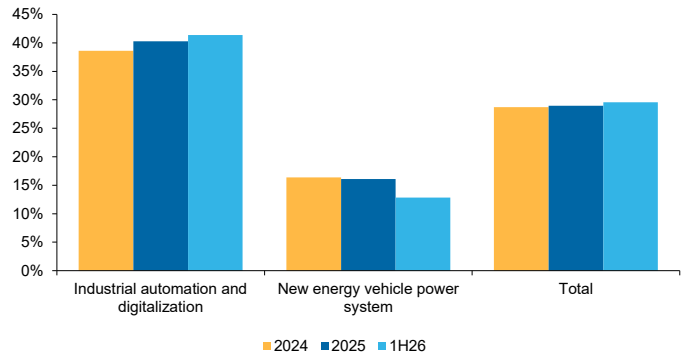
Inovance is a leading provider of industrial automation solutions. It focuses on development, manufacturing and sales of industrial automation components (servos/ controllers/ inverters) with applications in industrial robots, automated manufacturing equipment and EV. With advanced core technology and savvy expansion, it has managed to deliver sustainable growth amid rising competition.

Figure 1 - Inovance revenue breakdown by segment



Source: Company data, Macquarie Research, August 2026

Figure 2 - Inovance - GPM breakdown by segment



Source: Company data, August 2026

Inovance (300124 CH) CNY/(m) unless otherwise noted

Income Statement Dec FY	2025A	2026E	2027E	2028E	Q2/26A	Q3/26E
Revenue	**45,105**	**52,174**	**60,161**	**69,332**	**14,532**	**13,043**
Cost of Goods Sold	32,045	37,253	42,610	48,822	10,143	9,313
Gross Profit	**13,060**	**14,921**	**17,551**	**20,511**	**4,389**	**3,730**
EBITDA	**6,435**	**7,707**	**9,082**	**10,591**	**2,558**	**1,904**
Depreciation	770.0	1,112	1,366	1,667	268.7	271.5
Amortisation	221.3	439.1	365.5	210.4	61.3	63.2
EBIT	**5,443**	**6,156**	**7,351**	**8,713**	**2,228**	**1,569**
Net Interest Income	65.7	89.0	69.9	97.9	(34.3)	26.6
Associates	62.8	80.0	80.0	80.0	101.4	10.0
Other Pre-Tax Income	(138.6)	(135.6)	(263.9)	(319.4)	(315.1)	(41.7)
Pre-Tax Profit	**5,433**	**6,190**	**7,237**	**8,571**	**1,980**	**1,564**
Tax Expense	(260.7)	(297.0)	(347.2)	(411.3)	(202.2)	(75.0)
Net Profit	**5,173**	**5,893**	**6,890**	**8,160**	**1,778**	**1,489**
Minority Interests	(122.7)	(70.0)	(70.0)	(70.0)	18.6	(17.5)
Reported Earnings	**5,050**	**5,823**	**6,820**	**8,090**	**1,796**	**1,471**
Adjusted Earnings	**5,050**	**5,823**	**6,820**	**8,090**	**1,796**	**1,471**
Basic Shares Outstanding	2,700.5	2,701.9	2,701.9	2,701.9	2,702	2,702
Diluted Shares Outstanding	2,709.4	2,711.2	2,701.9	2,701.9	2,702	2,702
EPS (rep) [CNY]	1.9	2.1	2.5	3.0	0.7	0.5
EPS (adj) [CNY]	1.9	2.1	2.5	3.0	0.7	0.5
Total DPS [CNY]	0.5	0.6	0.7	0.8	0.0	0.0

Ratio	2025A	2026E	2027E	2028E		
Revenue Growth (%)	21.8	15.7	15.3	15.2	-	-
EBITDA Growth (%)	23.2	19.8	17.8	16.6	-	-
EBIT Growth (%)	22.0	13.1	19.4	18.5	-	-
EPS Growth (adj) (%)	16.9	15.2	17.4	18.6	-	-
Gross Profit Margin (%)	29.0	28.6	29.2	29.6	-	-
EBITDA Margin (%)	14.3	14.8	15.1	15.3	-	-
EBIT Margin (%)	12.1	11.8	12.2	12.6	-	-
Net Profit Margin (%)	11.2	11.2	11.3	11.7	-	-
Payout Ratio (%)	26.5	26.8	26.7	26.7	-	-
PE (rep) (x)	33.2	28.8	24.5	20.7	-	-
PE (adj) (x)	33.2	28.8	24.5	20.7	-	-
EV/EBITDA (x)	25.2	21.0	17.8	15.3	-	-
EV/EBIT (x)	29.7	26.2	22.0	18.6	-	-
Price/Book (x)	4.7	4.2	3.7	3.3	-	-
Total Div Yield (%)	0.8	0.9	1.1	1.3	-	-

Balance Sheet	2025A	2026E	2027E	2028E
Cash	7,033	8,345	10,715	13,352
Receivables	15,744	12,955	14,938	17,215
Inventories	8,079	11,692	13,374	15,323
Investments	8,635	8,635	8,635	8,635
Fixed Assets	11,012	13,529	16,518	20,076
Intangibles	2,095	2,095	2,095	2,095
Other Assets	18,718	16,653	16,578	16,700
Total Assets	**71,314**	**73,904**	**82,852**	**93,395**
Payables	21,683	17,364	19,861	22,756
Short Term Debt	1,347	1,567	1,691	1,847
Long Term Debt	1,572	4,506	4,864	5,312
Other Liabilities	9,577	9,066	10,039	11,156
Total Liabilities	34,180	32,503	36,455	41,071
Shareholders' Funds	13,469	17,735	22,731	28,659
Minority Interests	1,782	1,782	1,782	1,782
Other	21,884	21,884	21,884	21,884
Total S/H Equity	**37,135**	**41,401**	**46,397**	**52,324**
Total Liab & S/H Funds	71,314	73,904	82,852	93,395
Net Debt / Equity (%)	(11.1)	(5.5)	(9.0)	(11.8)
ROE (%)	15.9	15.5	16.2	17.0
ROA (%)	8.5	8.5	9.4	9.9

Cash Flow Analysis	2025A	2026E	2027E	2028E
EBITDA	**6,435**	**7,707**	**9,082**	**10,591**
Tax Paid	(260.7)	(297.0)	(347.2)	(411.3)
Chgs in Working Cap	7,333	(3,495)	6,161	7,122
Net Interest Paid	65.7	89.0	69.9	97.9
Operating Cashflow	**6,681**	**3,345**	**8,066**	**9,421**
Acquisitions	(4,373)	(1,911)	0.0	0.0
Capex	(3,024)	(3,629)	(4,354)	(5,225)
Investing Cashflow	**(5,536)**	**(3,629)**	**(4,354)**	**(5,225)**
Dividend (Ordinary)	(1,350)	(1,557)	(1,823)	(2,163)
Equity Raised	(3,283)	(4,266)	(4,996)	(5,927)
Debt Movements	433.9	(3,153)	(482.4)	(604.5)
Other	7,091	10,572	5,961	7,136
Financing Cashflow	**2,892**	**1,596**	**(1,341)**	**(1,559)**
Net Chg in Cash/Debt	**4,047**	**1,312**	**2,371**	**2,637**
Free Cashflow	**3,657**	**(284.0)**	**3,712**	**4,195**

Source: Company data, Macquarie Research Aug 2026

Figure 3 - Inovance - Quarterly results

RMB m	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YoY %	QoQ %
Revenue	4,778	5,618	5,844	6,767	4,782	7,669	7,670	10,299	6,492	9,691	9,214	11,644	8,978	11,531	11,153	13,442	10,143	14,532	26.0%	43.3%
Industrial automation and digitalization	3,700	4,174	4,289	5,110	3,628	5,249	4,947	5,706	3,900	5,371	4,429	5,382	4,700	5,726	5,374	6,445	5,311	8,155	17.8%	58.7%
-Industrial automation	2,500	3,168	2,669	3,774	2,707	3,802	3,465	4,264	2,960	3,980	3,160	3,640	3,730	4,358	4,112	4,700	4,252	6,748	54.8%	58.7%
-Elevator	1,200	1,006	1,620	1,336	921	1,447	1,482	1,441	940	1,391	1,269	1,300	960	1,326	1,314	1,600	1,031	1,369	3.3%	32.8%
New Energy Vehicles	900	1,109	1,256	1,823	904	2,063	2,301	4,122	2,300	3,709	4,391	5,680	3,783	5,258	5,359	5,923	4,237	5,170	-1.7%	22.0%
Gross profit	1,652	2,130	2,060	2,214	1,746	2,770	2,683	3,006	2,197	2,845	2,736	2,854	2,782	3,418	3,068	3,793	2,949	4,389	28.4%	48.8%
SG&A expenses	514	580	530	727	613	740	707	1,182	709	755	856	703	728	776	804	1,053	780	942	21.4%	20.8%
R&D expenses	510	494	596	629	626	669	736	593	786	687	733	941	890	1,076	1,028	1,262	1,007	1,219	13.3%	21.0%
Pre-tax profit	730	1,307	1,112	1,328	731	1,371	1,313	1,585	821	1,436	1,396	956	1,411	1,781	1,268	974	1,070	1,980	11.2%	85.0%
Net profit	717	1,257	1,110	1,235	747	1,330	1,242	1,422	811	1,307	1,236	932	1,323	1,646	1,286	796	1,013	1,796	9.2%	77.3%
Recurring net profit	698	1,047	985	659	625	1,243	1,179	1,025	792	1,277	1,066	901	1,234	1,438	1,217	1,062	1,046	1,710	19.0%	63.6%
Operating cashflow	-78	-103	2,281	1,101	276	473	700	1,921	27	1,801	2,029	3,344	263	2,758	911	2,750	94	1,881	-31.8%	1900.0%
Margins																				
Gross margin	34.6%	37.9%	35.2%	32.7%	36.5%	36.1%	35.0%	29.2%	33.8%	29.4%	29.7%	24.5%	31.0%	29.6%	27.5%	28.2%	29.1%	30.2%	0.6%	1.1 ppts
Net margin	15.0%	22.4%	19.0%	18.2%	15.6%	17.3%	16.2%	13.8%	12.5%	13.5%	13.4%	8.0%	14.7%	14.3%	11.5%	5.9%	10.0%	12.4%	-1.9%	2.4 ppts

Source: Company data, August 2026

Figure 4 - Inovance 1H26 key financials

RMB m	1H26	1H25	YoY %	1H26 MQe	Diff %	1H26 VA est.	Diff %	1H26 BBG est.	Diff %
Revenue	24,675	20,509	20.3%	23,521	4.9%	24,051	2.6%	23,746	3.9%
Gross profit	7,339	6,199	18.4%	6,726	9.1%	6,961	5.4%	6,858	7.0%
SG&A expenses	1,722	1,504	14.5%	1,877	-8.2%				
R&D expenses	2,226	1,966	13.3%	2,115	5.2%				
Pre-tax profit	3,050	3,192	-4.4%	2,816	8.3%	2,972	2.6%		
Net profit	2,810	2,968	-5.3%	2,658	5.7%	2,762	1.7%	2,167	29.6%
Recurring net profit	2,756	2,671	3.2%						
Operating cashflow	1,975	3,020	-34.6%						
EPS (RMB)	1.03	1.1	-6.4%						
DPS (RMB)	0.0	0.0	N/M						
Margins									
Gross margin	29.7%	30.2%	-0.5 ppts	28.6%	1.1 ppts	28.9%	0.8 ppts	28.9%	0.9 ppts
Net margin	11.4%	14.5%	-3.1 ppts	11.3%	0.1 ppts	11.5%	-0.1 ppts	9.1%	2.3 ppts

Source: Company data, Macquarie Research, Bloomberg, VisibleAlpha, August 2026

Figure 5 - Inovance 2Q26 key financials

RMB m	2Q26	2Q25	YoY	1Q26	QoQ	2Q26 MQe	Diff %	2Q26 VA est.	Diff %	2Q26 BBG est.	Diff %
Revenue	14,532	11,531	26.0%	10,143	43.3%	13,378	8.6%	13,908	4.5%	13,608	6.8%
Gross profit	4,389	3,418	28.4%	2,949	48.8%	3,777	16.2%	4,012	9.4%	3,908	12.3%
SG&A expenses	942	776	21.4%	780	20.8%	1,097	-14.1%				
R&D expenses	1,219	1,076	13.3%	1,007	21.0%	1,108	10.0%				
Pre-tax profit	1,980	1,781	11.2%	1,070	85.0%	1,746	13.4%				
Net profit	1,796	1,646	9.2%	1,013	77.3%	1,645	9.2%	1,749	2.7%	1,154	55.7%
Recurring net profit	1,710	1,438	19.0%	1,046	63.6%						
Operating cashflow	1,881	2,758	-31.8%	94	1900.0%						
Margins											
Gross margin	30.2%	29.6%	0.6%	29.1%	1.1%	28.2%	2.0%	28.8%	1.4%	28.7%	1.5 ppts
Net margin	12.4%	14.3%	-1.9%	10.0%	2.4%	12.3%	0.1%	12.6%	-0.2%	8.5%	3.9 ppts

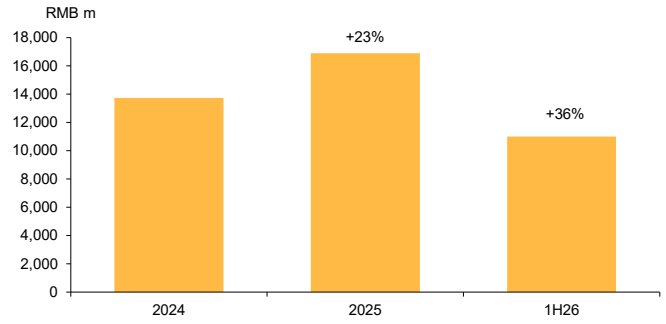
Source: Company data, Macquarie Research, Bloomberg, VisibleAlpha, August 2026

Figure 6 - Inovance - earnings revisions

RMB m	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Revenue	52,174	52,174	0.0%	60,161	60,161	0.0%	69,332	69,332	0.0%
Gross profit	14,921	14,921	0.0%	17,551	17,551	0.0%	20,511	20,511	0.0%
Opex	8,765	8,765	0.0%	10,200	10,200	0.0%	11,798	11,798	0.0%
EBIT	6,156	6,156	0.0%	7,351	7,351	0.0%	8,713	8,713	0.0%
Pre-tax profit	6,190	6,190	0.0%	7,237	7,237	0.0%	8,571	8,571	0.0%
Net profit	5,823	5,823	0.0%	6,820	6,820	0.0%	8,090	8,090	0.0%
Margins									
Gross margin	28.6%	28.6%	0.0%	29.2%	29.2%	0.0%	29.6%	29.6%	0.0%
Op margin	11.8%	11.8%	0.0%	12.2%	12.2%	0.0%	12.6%	12.6%	0.0%
Net margin	11.2%	11.2%	0.0%	11.3%	11.3%	0.0%	11.7%	11.7%	0.0%

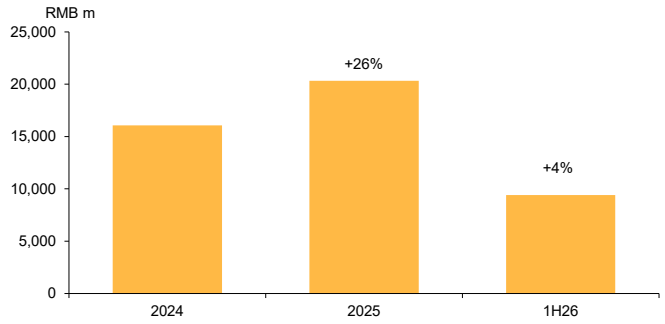
Source: Company data, Macquarie Research, August 2026

Figure 7 - Inovance - Industrial automation segment revenue growth



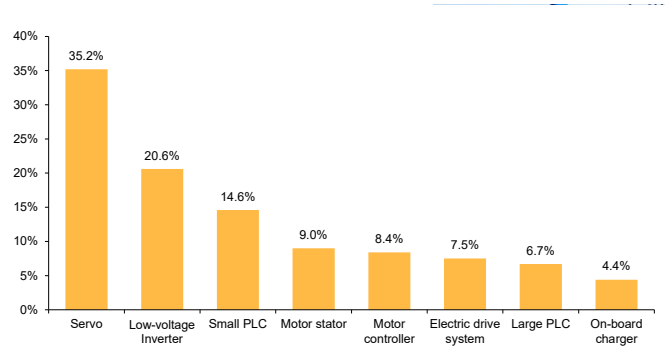
Source: Company data, August 2026

Figure 8 - Inovance - NEV segment revenue growth



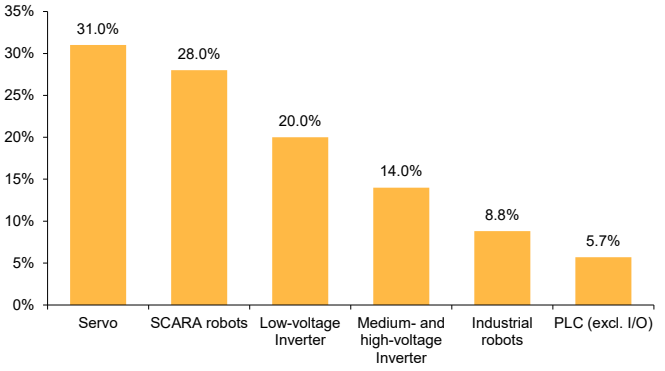
Source: Company data, August 2026

Figure 9 - Inovance: core product market share in China (1H26)



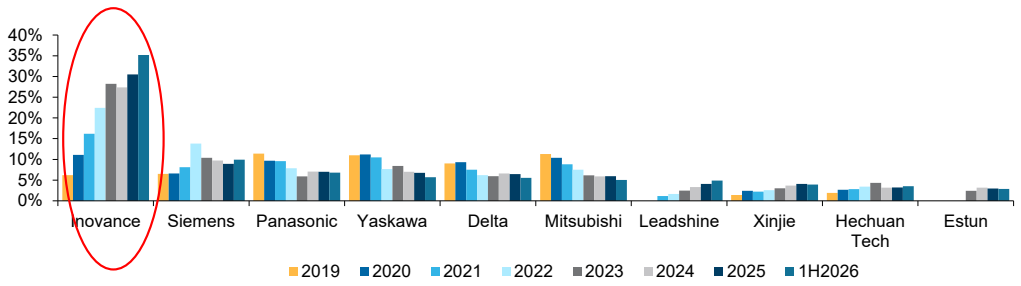
Source: Company data, August 2026

Figure 10 - Inovance: core product market share in China (2025)



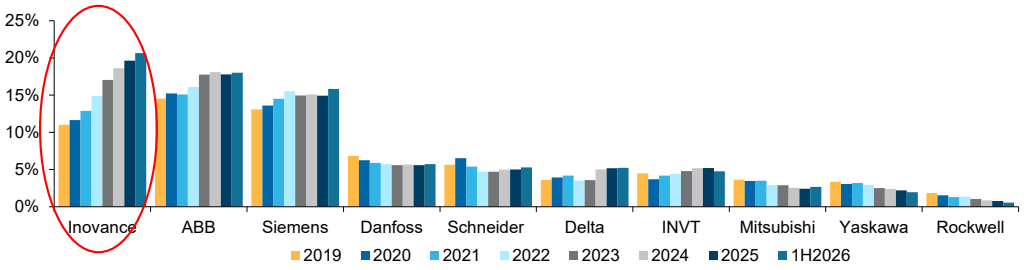
Source: Company data, August 2026

Figure 11 - Servo systems – Market share in China, 2019~1H26



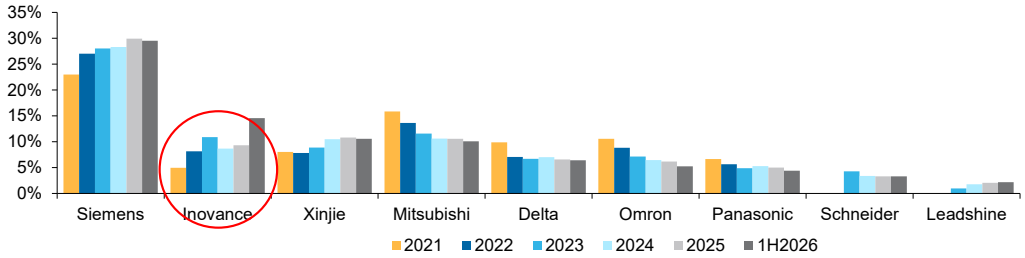
Source: MIR, August 2026

Figure 12 - Inverter - Market share in China, 2019~1H26



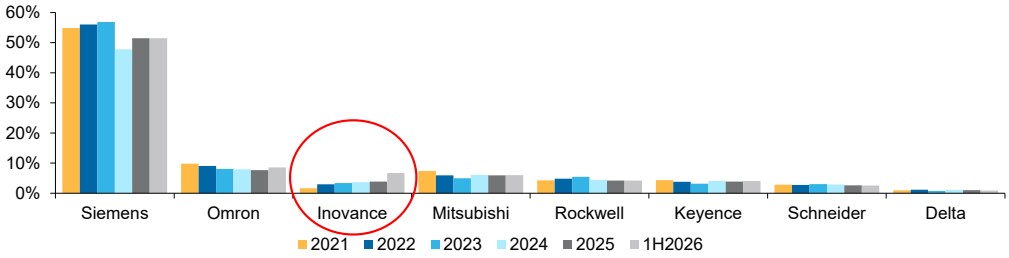
Source: MIR, August 2026

Figure 13 - Small PLC systems – Market share in China, 2021-1H26



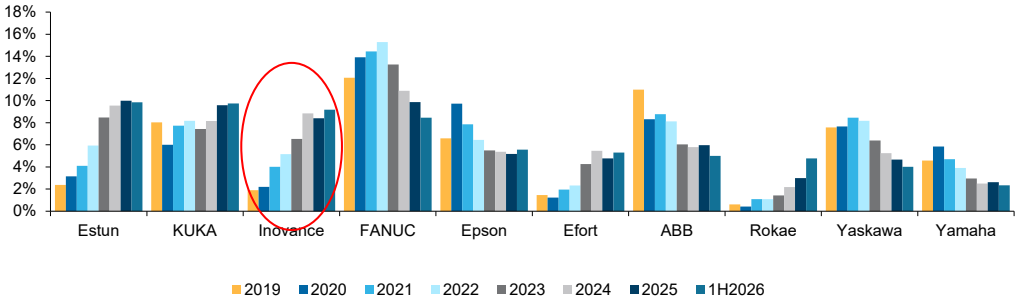
Source: MIR, August 2026

Figure 14 - Large PLC systems – Market share in China, 2021~1H26



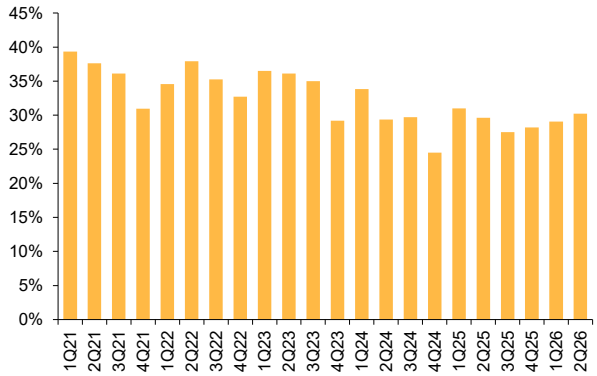
Source: MIR, August 2026

Figure 15 - Market share of industrial robots in China, 2019~1H26



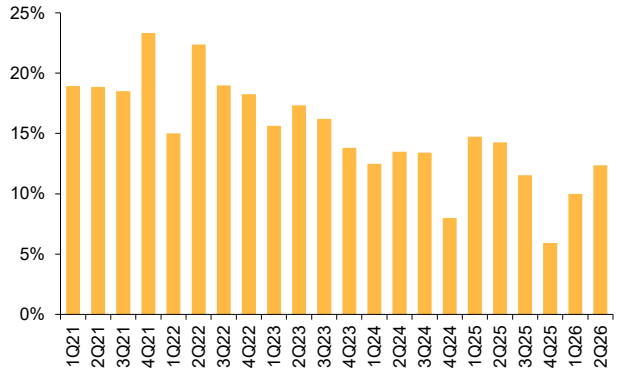
Source: MIR, August 2026

Figure 16 - Inovance GPM



Source: Company data, August 2026

Figure 17 - Inovance NPM



Source: Company data, August 2026

Figure 18 - China industrial automation peer valuations

BBG Ticker	Company	Rating	Current Price (LC)	Price Target (LC)	12m TSR (%)	Market Cap (US$, m)	P/E (x)			P/B (x)			ROE (%)			EV/EBITDA (x)			Dividend Yield (%)			EPS CAGR (%)
							2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	25-28E
China																						
300124 CH	Shenzhen Inovance	Outperform	62.05	77.80	26.3	24,926	28.8	24.5	20.7	4.2	3.8	3.3	15.5	16.2	17.0	21.4	18.0	15.2	0.9	1.1	1.3	17.1
688017 CH	Leader Harmonious Drive	Underperform	292.00	177.90	-38.9	8,197	320.9	230.8	180.2	15.1	14.6	14.0	4.8	6.4	7.9	244.8	199.8	159.0	0.2	0.3	0.3	34.7
002747 CH	Estun Automation - A	Underperform	31.49	17.80	-43.5	4,315	110.3	90.4	64.9	9.2	8.3	7.6	10.5	9.6	12.2	47.6	39.7	31.1	0.0	0.2	0.2	125.5
2715 HK	Estun Automation - H	Neutral	17.05	17.40	2.1	4,315	51.2	42.0	30.1	4.3	3.9	3.5	10.5	9.6	12.2	23.6	19.7	15.5	0.0	0.4	0.5	125.5
688777 CH	Zhejiang Supcon	Underperform	92.14	30.80	-66.1	11,514	102.7	71.6	57.6	7.4	6.9	6.5	7.3	10.0	11.6	111.6	70.4	56.1	0.5	0.7	0.9	45.5
002472 CH	Shuanghuan Driveline	Outperform	35.70	47.00	37.4	14,126	11.1	9.6	8.5	1.9	1.7	1.5	17.7	18.6	19.4	7.6	6.7	6.1	5.8	7.0	7.5	14.6
300024 CH	Siasun Robot & Automation	NR	14.50	NR	N/A	3,378	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Average							**104.2**	**78.2**	**60.3**	**7.0**	**6.5**	**6.1**	**11.1**	**11.7**	**13.4**	**76.1**	**59.0**	**47.2**	**1.2**	**1.6**	**1.8**	**60.5**
Taiwan																						
1590 TT	AirTac	Outperform	1,415.00	1,874.00	35.0	8,990	25.6	22.8	20.2	4.8	4.4	4.1	19.9	20.2	21.0	16.5	14.7	12.9	2.5	2.8	3.2	18.9
2308 TT	Delta Electronics Inc	Outperform	1,830.00	2,200.00	20.6	150,758	79.5	49.4	32.9	20.8	17.8	13.8	17.3	16.4	24.1	38.0	75.8	64.9	1.0	1.5	0.0	46.9
2049 TT	Hiwin Technologies	NR	350.00	NR	N/A	3,906	38.5	30.5	30.5	3.1	2.9	2.8	8.3	9.9	10.3	19.5	16.5	15.1	0.9	1.3	1.5	N/A
Average							**47.9**	**34.2**	**27.9**	**9.6**	**8.4**	**6.9**	**15.2**	**15.5**	**18.5**	**24.7**	**35.7**	**31.0**	**1.5**	**1.9**	**1.6**	**32.9**
Japan																						
6954 JP	Fanuc Corp	Outperform	6,052.00	8,000.00	33.7	37,273	50.8	44.7	36.9	4.3	4.0	3.9	8.6	9.3	10.7	33.5	29.1	24.3	1.2	1.3	1.6	15.3
6506 JP	Yaskawa Electric Corp	Outperform	4,811.00	6,000.00	27.2	7,989	32.7	52.6	39.7	4.3	3.8	3.7	13.7	7.7	9.5	26.7	28.2	22.5	1.0	1.0	1.1	-2.6
6324 JP	Harmonic Drive Systems Inc	Outperform	5,750.00	5,000.00	-13.0	3,495	210.3	350.0	121.9	9.3	9.4	9.0	4.4	2.7	7.5	83.9	66.4	43.8	0.3	0.3	0.4	50.3
6273 JP	SMC	Outperform	70,300.00	100,000.00	43.2	28,302	28.0	26.7	22.6	2.2	2.1	2.0	8.2	8.2	8.9	16.4	15.9	11.9	1.5	1.5	1.8	12.9
6841 JP	Yokogawa Electric Corp	NR	5,165.00	NR	N/A	8,240	22.3	20.4	17.7	2.6	2.4	2.2	12.2	12.3	13.2	10.4	9.9	8.9	1.5	1.7	1.9	11.7
6268 JP	Nabtesco Corp	NR	4,588.00	NR	N/A	3,412	24.4	21.1	19.8	1.9	1.8	1.7	7.9	8.4	8.7	10.6	9.5	8.6	1.7	1.8	1.9	21.2
Average							**61.4**	**85.9**	**43.1**	**4.1**	**3.9**	**3.8**	**9.2**	**8.1**	**9.8**	**30.2**	**26.5**	**20.0**	**1.2**	**1.3**	**1.4**	**18.1**
Europe																						
SIE GY	Siemens Ag-Reg	NR	288.85	NR	N/A	261,682	25.7	22.3	19.7	3.4	3.1	2.9	13.5	14.6	15.3	17.0	15.1	13.7	1.9	2.1	2.2	8.4
SU FP	Schneider Electric Se	NR	301.00	NR	N/A	201,972	29.7	25.0	21.6	6.4	5.6	4.9	21.8	22.8	23.0	19.3	16.9	15.0	1.5	1.7	2.0	17.5
ABBN.SW	Abb Ltd-Reg	NR	79.92	NR	N/A	180,420	29.0	27.4	23.8	9.4	8.1	6.8	34.6	30.6	29.4	22.1	19.3	17.1	1.1	1.2	1.3	17.7
Average							**28.1**	**24.9**	**21.7**	**6.4**	**5.6**	**4.9**	**23.3**	**22.7**	**22.5**	**19.5**	**17.1**	**15.3**	**1.5**	**1.7**	**1.8**	**14.6**
US																						
HON US	Honeywell International Inc	NR	217.43	NR	N/A	68,912	26.3	21.9	19.1	3.7	3.6	4.0	16.0	19.6	20.7	20.9	18.3	16.7	2.0	1.9	2.1	-17.1
ROK US	Rockwell Automation Inc	NR	430.86	NR	N/A	47,846	32.6	29.1	26.0	12.4	10.9	9.4	38.0	38.5	36.9	23.1	21.1	19.4	1.3	1.4	1.4	18.3
Average							**29.5**	**25.5**	**22.5**	**8.0**	**7.3**	**6.7**	**27.0**	**29.1**	**28.8**	**22.0**	**19.7**	**18.0**	**1.7**	**1.6**	**1.8**	**0.6**
Overall Average							**54.2**	**49.7**	**35.1**	**7.0**	**6.3**	**5.6**	**17.1**	**17.4**	**18.6**	**34.5**	**31.6**	**26.3**	**1.4**	**1.6**	**1.7**	**25.3**

Source: Bloomberg, Macquarie Research, August 2026, Prices as of 28-August-2026.

Data for Not Rated stocks is Bloomberg consensus

Key Quant Findings
The quant model currently holds a marginally positive view on Inovance. The strongest style exposure is Quality, indicating this stock is likely to have a superior and more stable underlying earnings stream. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

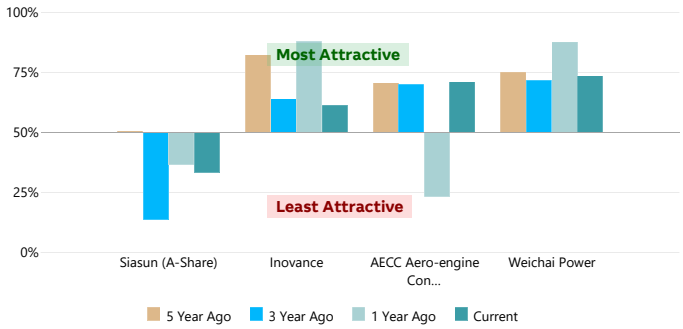
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	China A	Capital Goods
Macquarie Alpha Model	**7370/17964**	**1981/5145**	**1010/2745**
Fundamental (Consensus) *	**4369/17964**	**1195/5145**	**675/2745**

** based on Total Shareholder Return = Consensus Price target / Current Price*

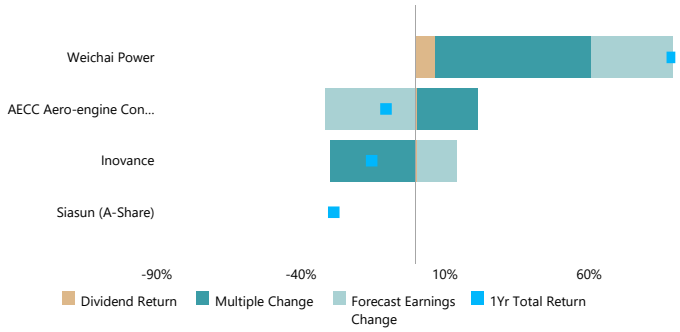
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



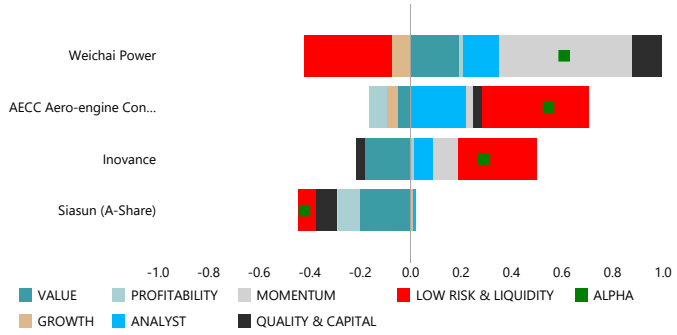
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to sectors (/2745)	Percentile relative to market (/5145)	Core factors in definition
ALPHA	63%	61%	Built from the styles below
VALUE	21%	28%	Book, CF, Yield, Earnings Multiples
ANALYST	82%	90%	Revisions (Earnings, Recommendations)
MOMENTUM	61%	63%	Price Momentum
GROWTH	58%	58%	EPS, Sales (Forecast, Historic)
PROFITABILITY	74%	65%	ROE, Margin, Asset Turnover
QUALITY	76%	72%	Accruals, Earn Stability, Cash Conversion
CAPITAL	17%	14%	Investment/Capex, Net share issuance
LIQUIDITY	86%	75%	Size, Turnover, Analyst Coverage
LOW RISK	83%	73%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	23%	23%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Returns for													
Asia Ex JP	**Jul - 26**	**Jun - 26**	**May - 26**	**Apr - 26**	**Mar - 26**	**Feb - 26**	**Jan - 26**	**Dec - 25**	**Nov - 25**	**Oct - 25**	**Sep - 25**	**Aug - 25**	**Last 5 Years (ann)**	**Last 10 Years (ann)**
ALPHA	10%	1%	3%	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	9%	6%
VALUE	19%	-5%	1%	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	14%	5%
ANALYST	-12%	7%	4%	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	12%	13%
MOMENTUM	-35%	15%	17%	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-4%	2%
GROWTH	-19%	9%	7%	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	2%	1%
PROFITABILITY	3%	6%	1%	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-3%	-2%
QUALITY	7%	-3%	-2%	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-5%	-2%
CAPITAL	14%	-7%	-1%	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	3%	-4%
LIQUIDITY	-11%	8%	10%	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-3%	3%
LOW RISK	29%	-6%	-8%	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-5%	-6%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% **Macquarie – Australia/New Zealand** Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. **Recommendations** – 12 months **12-month target** – Expected share price in 12 months **Valuation** – The company's estimated fair value share price based on the disclosed valuation methodology **Note**: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. **Very high** – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. **High** – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. **Medium** – stock should be expected to move up or down at least 25–40% in a year. **Low** – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ **Note:** expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: **Added back:** goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests **EPS** = adjusted net profit / efpowa* **ROA** = adjusted ebit / average total assets **ROA Banks/Insurance** = adjusted net profit /average total assets **ROE** = adjusted net profit / average shareholders funds **Gross cashflow** = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 30 Jun 2026

	AU/NZ	Asia	USA	
Outperform	65.38%	70.02%	64.29%	(for global coverage by Macquarie, 1.91% of stocks followed are investment banking clients)
Neutral	27.62%	16.78%	35.71%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	6.99%	13.19%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

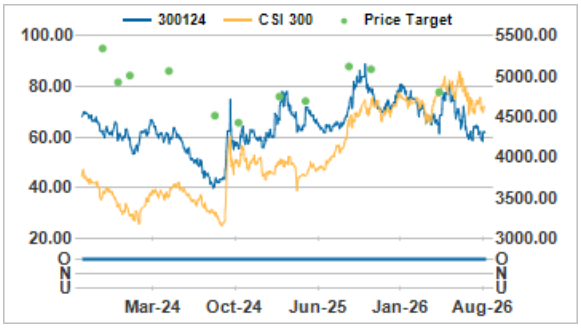
Company Name	Disclosure
Inovance (300124 CH) **Outperform** 12-month target: CNY77.80 - PER Valuation: CNY 77.80 - PER Price: CNY61.87	None

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Recommendation history

Company name	Date	Recommendation	Target price
Inovance (300124 CH)	28-Apr-2026	Outperform	CNY 77.80
	25-Oct-2025	Outperform	CNY 86.80
	26-Aug-2025	Outperform	CNY 87.90
	30-Apr-2025	Outperform	CNY 74.20
	18-Feb-2025	Outperform	CNY 76.00
	30-Oct-2024	Outperform	CNY 65.70
	27-Aug-2024	Outperform	CNY 68.50
	24-Apr-2024	Outperform	CNY 86.10
	9-Jan-2024	Outperform	CNY 84.30



8-Dec-2023	Outperform	CNY 81.70
27-Oct-2023	Outperform	CNY 95.00

Sensitivity analysis:
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